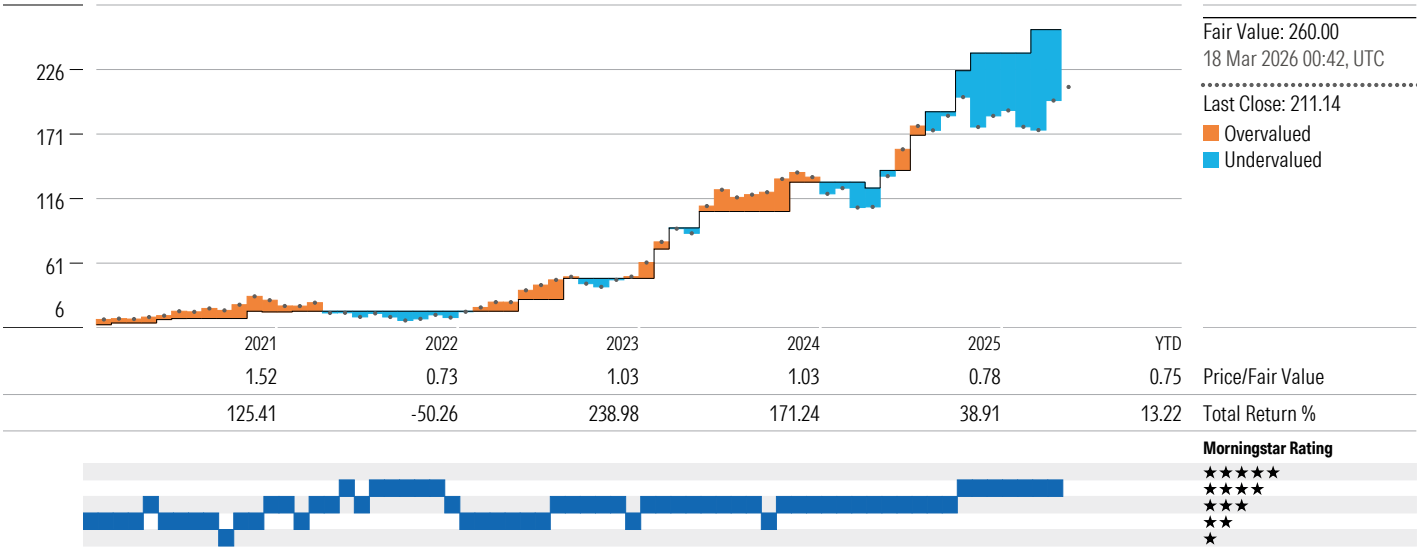
NVIDIA Corp NVDA ★★★★ 29 May 2026 21:22, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
211.14 USD 31 May 2026	280.00 USD 21 May 2026 08:32, UTC	0.75	5.42 USD Tril 1 Jun 2026	Wide	Large Growth	Very High	Exemplary

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
Price/Fair Value	1.52	0.73	1.03	1.03	0.78	0.75	
Total Return %	125.41	-50.26	238.98	171.24	38.91	13.22	

Morningstar Rating

Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 18 Mar 2026 00:42, UTC.

Contents

Analyst Note (1 Jun 2026)
Business Description
Business Strategy & Outlook (21 May 2026)
Bulls Say / Bears Say (21 May 2026)
Economic Moat (21 May 2026)
Fair Value and Profit Drivers (21 May 2026)
Risk and Uncertainty (21 May 2026)
Capital Allocation (26 Feb 2026)
Analyst Notes Archive
Financials
ESG Risk
Appendix
Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Nvidia: Entry Into the PC Market Announced at Computex; Shares Undervalued

Analyst Note Brian Colello, CPA, Senior Equity Analyst, 1 Jun 2026

At Computex 2026, Nvidia's keynote address noted that its Vera Rubin artificial intelligence rack-scale solutions are ramping into full production. It announced the RTX Spark "superchip" that combines a Blackwell graphics processor (GPU) and N1X/N1 processor (CPU) for PCs in the agentic AI era.

Why it matters: Our key takeaway was the arrival of RTX Spark, which is expected to arrive in 30 laptops and 10 desktop PCs starting later this year. The Nvidia PC processor has been rumored for some time, but it is now set to take on traditional PC processors from x86 leaders Intel and AMD.

- We remain impressed with Nvidia's ability to elbow out into adjacent opportunities, and PCs are no exception. Nvidia still has its GPU partnership within upcoming Intel PC processors, but we suspect Nvidia's RTX Spark lineup will be compelling to power users.

The bottom line: We maintain our $280 fair value estimate per share for wide-moat Nvidia. Shares opened up 4% on the news and we think of PCs as an incremental, but not massive, medium-term revenue opportunity for the firm.

- Data center products still drive Nvidia's valuation, in our view, and perhaps the most important news of all is that the Vera Rubin rollout remains on track, as expected.

Key stats: Another encouraging data point in the keynote was Nvidia's disclosure of an exponential rise in GitHub coding usage during the agentic AI era (although exact percentages were not provided).

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Sector
Technology

Industry
Semiconductors

Business Description

Nvidia is a leading developer of graphics processing units. Traditionally, GPUs were used to enhance the experience on computing platforms, most notably in gaming applications on PCs. GPU use cases have since emerged as important semiconductors used in artificial intelligence to run large language models. Nvidia not only offers AI GPUs, but also a software platform, Cuda, used for AI model development and training. Nvidia is also expanding its data center networking solutions, helping to tie GPUs together to handle complex workloads.

- Metrics such as pull requests merged (or code changes implemented), commits (code changes), and repos (new projects) were all rising with AI adoption from 2023 to 2025 but have spiked with the rise of agentic AI and tools like Anthropic's Claude Code and OpenAI's Codex.
- We think these metrics might be useful when thinking about the return on investment of AI adoption. Software coding is accelerating, and we think it's reasonable that more AI tools will arrive in the hands of consumers and enterprises, perhaps sooner rather than later.

Business Strategy & Outlook Brian Colello, CPA, Senior Equity Analyst, 21 May 2026

Nvidia has a wide economic moat, thanks to its market leadership in graphics processing units, hardware, software, and networking tools needed to enable the exponentially growing market around artificial intelligence. In the long run, we expect tech titans to strive to find second-sources or in-house solutions to diversify away from Nvidia in AI, but these efforts will, at best, only chip away at Nvidia's AI dominance.

Nvidia's GPUs run parallel processing workloads, using many cores to efficiently process data at the same time. In contrast, central processing units, such as Intel's processors for PCs and servers, or Apple's processors for its Macs and iPhones, process the data of "0's and 1's" in a serial fashion. The wheelhouse of GPUs has been the gaming market, and Nvidia's GPU graphics cards have long been considered best of breed.

More recently, parallel processing has emerged as a near-requirement to accelerate AI workloads. Nvidia took an early lead in AI GPU hardware, but more importantly, developed a proprietary software platform, Cuda, and these tools allow AI developers to build their models with Nvidia. We believe Nvidia not only has a hardware lead but also benefits from high customer switching costs around Cuda, making it unlikely for another chip designer to emerge as a leader in AI training. Nvidia's expansion into networking has been impressive, allowing customers to cluster AI GPUs together for AI training.

We think Nvidia's prospects will be tied to the AI market, for better or worse, for quite some time. We expect leading cloud vendors to continue to invest in in-house, while AMD is also working on GPUs and AI accelerators for the data center. However, we view Nvidia's GPUs and Cuda as the industry leaders, and the firm's massive valuation will hinge on the pace of AI buildouts in the years ahead.

Bulls Say Brian Colello, CPA, Senior Equity Analyst, 21 May 2026

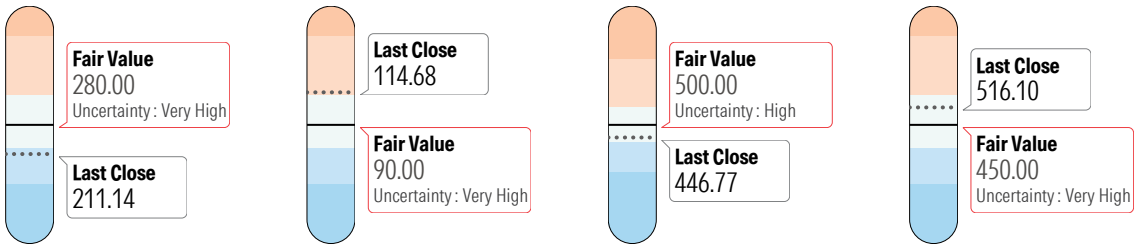
- The AI infrastructure opportunity is massive, and Nvidia foresees $3 trillion-$4 trillion of annual AI infrastructure spending by 2030.
- Nvidia's data center GPUs and Cuda software platform have established the company as the dominant vendor for AI model training and inference.
- Nvidia is expanding nicely within AI, not just supplying industry-leading GPUs but also moving into

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Competitors



	NVIDIA Corp NVDA	Intel Corp INTC	Broadcom Inc AVGO	Advanced Micro Devices Inc AMD
Economic Moat	Wide	None	Wide	Narrow
Currency	USD	USD	USD	USD
Fair Value	280.00 29 May 2026 16:22, UTC	90.00 29 May 2026 16:23, UTC	500.00 29 May 2026 16:32, UTC	450.00 29 May 2026 16:22, UTC
1-Star Price	490.00	157.50	775.00	787.50
5-Star Price	140.00	45.00	300.00	225.00
Assessment	Undervalued 29 May 2026	Overvalued 29 May 2026	Fairly Valued 29 May 2026	Fairly Valued 29 May 2026
Morningstar Rating	★★★★29 May 2026 05:00, UTC	★★29 May 2026 05:00, UTC	★★★29 May 2026 05:00, UTC	★★★29 May 2026 05:00, UTC
Analyst	Brian Colello, Senior Equity Analyst	Brian Colello, Senior Equity Analyst	William Kerwin, Senior Equity Analyst	Brian Colello, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Exemplary	Exemplary
Price/Fair Value	0.75	1.27	0.89	1.15
Price/Sales	20.37	10.06	31.84	22.63
Price/Book	26.16	5.17	26.52	13.05
Price/Earning	32.33	—	87.26	172.03
Dividend Yield	—	0.00%	0.56%	0.00%
Market Cap	5,114.02 Bil	576.38 Bil	2,115.31 Bil	841.55 Bil
52-Week Range	132.92—236.54	18.97—132.75	234.90—448.90	108.62—527.20
Investment Style	Large Growth	Large Growth	Large Growth	Large Growth

networking, software, and services to tie these GPUs into even more-powerful clusters.

Bears Say Brian Colello, CPA, Senior Equity Analyst, 21 May 2026

- Nvidia's customers are a handful of the largest Tech companies in the world, and they all have an incentive to eventually diversify away from Nvidia to some extent.
- AI infrastructure spending has been impressive but revenue and use cases are less certain, perhaps providing doubts that there is a good return on investment on AI that might lead to a spending downturn at some point in the future.
- Geopolitics have entered the AI space, most notably limiting Nvidia's AI opportunities in China.

Economic Moat Brian Colello, CPA, Senior Equity Analyst, 21 May 2026

We assign Nvidia a wide economic moat rating, thanks to intangible assets around its graphics processing units and high customer switching costs around its proprietary software, Cuda, for AI tools,

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which enables developers to use Nvidia's GPUs to build AI models.

Nvidia was an early leader and designer of GPUs, which were originally developed to offload graphic processing tasks on PCs and gaming consoles. Nvidia has emerged as the clear market share leader in discrete GPUs. We attribute Nvidia's leadership to intangible assets associated with GPU design, as well as the associated software, frameworks, and tools required by developers to work with these GPUs.

GPUs perform parallel processing, in contrast to the serial processing performed by central processing units used to run the software and applications on PCs, smartphones, and many other types of devices. CPU examples include Intel's and AMD's PC and server processors, as well as Apple's and Qualcomm's smartphone processors. These CPUs conduct serial processing of 0's and 1's in a particular order to run an instruction set to run software and perform functions. In contrast, parallel processing does not need to run in a linear order. This is particularly useful, for example, when capturing an image. A GPU often has more cores than a CPU and performs simpler processing (such as capturing the data within a single image pixel) but throws many more cores at the image to catch all the data quickly. If CPUs were to conduct this task, they would have to capture the pixels in order; one can envision the CPU starting at the top and working its way down the image, while the GPU takes a snapshot in full.

In our view, the nature of parallel processing in GPUs is at the heart of Nvidia's dominance in its various end markets. PC graphics were the initial key application, allowing for more robust and immersive gaming over the past couple of decades. In the past decade, however, the parallel processing of GPUs was also found to run the matrix multiplication algorithms needed to power AI models more efficiently.

AI development has two key phases. The first is AI training. Using an image recognition example, developers might feed 50,000 images into a model, labeling them as either a picture of a cat, or not a cat. The model will look for the various aspects of each image and determine the scores and weights that are most common within a "cat" image. This may be an image with whiskers (although mice have whiskers too) or one with pointy ears (although the ears of a fox are also pointy), but a combination of all these factors may lead the model to effectively recognize cats in future images.

The second AI phase is inference, where the AI model decides on an image based on its prior training. In the cat example, the user would feed an unlabeled image into the model, and the model provides an output of whether it recognizes a cat or not.

Similar techniques are used in large language models associated with generative AI. In these cases, LLMs are fed with massive amounts of data, which may come from the internet, research papers, databases, and so on. Based on this data, the LLM determines scores and weights associated with language and which words are associated with one another.

GPUs are best suited to make these many billions of calculations needed for LLMs to predict the next

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word in a query (GPT-4 was trained on 1.8 trillion parameters, for example). More important, Nvidia made shrewd moves to build and expand the Cuda software platform, creating and hosting a variety of libraries, compilers, frameworks, and development tools that allowed AI professionals to build their models. Cuda is proprietary to Nvidia and only runs on Nvidia GPUs, and we believe this hardware plus software integration has created high customer switching costs in AI that contribute to Nvidia's wide moat.

Even if a chip competitor were to build a GPU on par with Nvidia, we surmise that the code and models built on Cuda to date would not be ported over to another GPU, giving Nvidia an incumbency advantage. It is conceivable that alternatives may emerge that might never touch Cuda or an Nvidia GPU, but Nvidia had virtually no competition in this arena at the dawn of AI, so any enterprise building an LLM but waiting for alternatives would have been left in the dust.

In AI inference, we believe that a variety of chip solutions will be used over time to detect patterns and provide the output associated with AI models. However, Nvidia's entrenchment in AI training makes it a likely winner in AI inference as well, not only as training GPUs are repurposed for inference, but as Nvidia uses its training know-how to push the needle on more innovative inference products.

Beyond Nvidia's AI prowess today, which we believe is exceptionally strong, we think the company is making the proper moves to widen its moat even further. Nvidia's software efforts with Cuda remain impressive, while Nvidia expanded into networking solutions, most notably with its acquisition of Mellanox for InfiniBand and, more recently, with its Spectrum Ethernet products. We don't want to discount Nvidia's know-how here either. Many AI models don't run on solo GPUs, but rather a connected system of many GPUs running in tandem. Nvidia's proprietary products, such as NVLink, do a good job of connecting Nvidia GPUs together to run these larger models.

Looking at the competitive landscape, AMD is a well-capitalized chipmaker with GPU expertise, although we view the company as being in a position of weakness on the software front. Perhaps the biggest threat might be from in-house chip solutions from hyperscalers, such as Google's tensor processing units, or TPUs, Amazon's Trainium and Inferentia chips. There's no guarantee that any of these chips will be superior to Nvidia's GPUs across a wide range of applications, but it's likely that each of these in-house chips might perform specific workloads better than a general AI GPU from Nvidia or others.

However, we believe that cloud computing companies will have to offer their enterprise customers a full menu of GPUs and accelerators so that they can run AI workloads. Amazon and Google may use Trainium and TPUs to train their own AI models, respectively, but we think they may struggle to encourage a host of enterprise customers to optimize their AI models for these in-house semis. Doing so would prevent these enterprise customers from switching among cloud providers, and enterprises are

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typically loath to be locked into a single vendor. Thus, neutral merchant GPU vendors will likely be demanded by enterprise customers, and again, we foresee Nvidia remaining at the head of the pack for quite some time.

Fair Value and Profit Drivers Brian Colello, CPA, Senior Equity Analyst, 21 May 2026

Our fair value estimate is $280 per share. Our fair value estimate implies a fiscal 2027 (ending January 2027 or effectively calendar 2026) and fiscal 2028 price/adjusted earnings multiple of 30 times and 20 times, respectively.

Our fair value estimate and Nvidia's stock price will be driven by its prospects in the data center and AI GPUs, for better or worse. Nvidia's DC business has achieved exponential growth already, rising from $3 billion in fiscal 2020 to $194 billion in fiscal 2026 and we estimate it will be $361 billion in fiscal 2027, representing 86% annual growth. Nvidia has disclosed at its March 2026 GTC conference that it has high confidence in $1 trillion of cumulative revenue for its Blackwell and Rubin products from the start of calendar 2025 to the end of calendar 2027. We think this implies $500 billion-plus of revenue coming in calendar 2027 (which is effectively fiscal 2028). In February 2026, Nvidia indicated that this estimate is now conservative, thanks to subsequent orders for Blackwell and Rubin products. This estimate does not include revenue from older products, such as Hopper in early 2025, Nvidia's next-generation Vera Rubin Ultra products set to arrive in mid to late 2027, or several types of peripheral data center products, such as Groq processors or Vera CPU racks (the latter of which Nvidia now expects $20 billion of revenue in fiscal 2027). This estimate also does not include sales into China, as the Chinese government is dissuading its local champions to use Nvidia gear, and we no longer model revenue from China either.

In the medium term, we model 50%, 20%, 15%, and 8% in data center revenue growth in fiscal 2028, 2029, 2030, and 2031, respectively, to over $806 billion in fiscal 2031 (which is effectively calendar 2030). The main driver of this tremendous growth is an ongoing increase in capital expenditures in data centers at leading cloud computing, enterprise, and sovereign government customers. Nvidia has suggested that each gigawatt-sized data center represents a $50 billion opportunity for the company, while the firm has line of sight to tens of such GW data centers being built out this decade. Our calculations suggest these estimates are achievable.

We think it is reasonable that Nvidia may face an inventory correction or a pause in AI demand at some point in the medium term thereafter, so we model a flat revenue year in fiscal 2032. Excluding this pause in expansion, we anticipate average annual DC growth in the 10% range thereafter and consider this to be a reasonable, if not conservative, long-term growth rate as AI matures. In the long run, we think that cloud computing revenue at the hyperscalers can grow at a low-teens rate (if not mid-teens), capital expenditures as a percentage of revenue remain at consistent levels at these hyperscalers, and

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thus we model Nvidia's revenue growth to be on par with these cloud computing growth rates.

In summation, Nvidia achieved 126%, 114%, and 66% revenue growth in fiscal 2024, fiscal 2025, and fiscal 2026, respectively. Given the acceleration in AI capex we expect within the industry in calendar 2026, we model 80% total revenue growth for Nvidia in fiscal 2027. While these percentages will represent peak growth percentages, as it will be harder for Nvidia to achieve such high percentages as its revenue base grows larger, we still anticipate robust growth for Nvidia in the years ahead.

Nvidia's massive DC growth has been gross margin-accretive, as GAAP gross margin expanded from 57% in fiscal 2023 to 75% in fiscal 2025. It dipped in fiscal 2026 to 71% as Blackwell was a more costly product to ramp up and Nvidia will recover only a portion of the loss associated with its H20 writeoff earlier in fiscal 2026. However, Nvidia should achieve mid-70% gross margins in fiscal 2027.

In the long run, we anticipate modest gross margin deterioration in the decade ahead, as we lower it to the high-60% range a decade from now. Still, we are optimistic about Nvidia's ability to retain its pricing power in DC products, thanks to the high switching costs associated with the Cuda platform and Nvidia's excellent suite of interconnectivity products.

Nvidia earned an exceptional 62% GAAP operating margin in fiscal 2025, as it prospered from significant operating leverage during the AI boom. The modest dip in gross margin drove GAAP operating margin in fiscal 2026 to fall slightly to 60%. Looking ahead, we think GAAP operating margins will hover in the high 50% range to the mid-60% range in each year of our 10-year forecast period, depending on the pace of R&D growth.

Risk and Uncertainty Brian Colello, CPA, Senior Equity Analyst, 21 May 2026

We assign Nvidia a Morningstar Uncertainty Rating of Very High due to the nascent nature of the AI market. In our view, Nvidia's valuation will be tied to its ability to grow within AI, for better or worse. Nvidia is an industry leader in GPUs used in AI model training, while carving out a good portion of demand for chips used in AI inference workloads (which involve running a model to make a prediction or output).

The biggest risk, in our view, is the pace of AI spending going forward. Nvidia prospered from exponential AI growth in recent years, but such spending comes from a handful of customers, and they all have an incentive to eventually optimize, if not reduce, their investments over time. Within these AI buildouts, we also think that tech leaders will turn to in-house chips for at least a portion of their workloads. Google's TPUs and Amazon's Trainium and Inferentia chips were designed with AI workloads in mind. Diversification is also possible, and among existing semis vendors, AMD is quickly expanding its GPU lineup to serve these cloud leaders.

We also foresee geopolitical risk and uncertainty, most notably with US restrictions that have prevented

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Nvidia, at various times, from selling its AI products into China.

Capital Allocation Brian Colello, CPA, Senior Equity Analyst, 26 Feb 2026

We assign Nvidia an Exemplary Morningstar Capital Allocation Rating, which reflects our assessment of a sound balance sheet, exceptional investments associated with the firm's strategy and execution, and attractive and appropriate shareholder distribution policies.

Nvidia is in outstanding financial health. As of October 2025, the company held $60.6 billion in cash and investments, as compared with $8.5 billion in short- and long-term debt. We think the firm generates sufficient cash flow and has ample resources to meet its debt obligations, capital expenditure requirements, potential acquisitions, and shareholder returns.

We remain impressed with Nvidia's prescient investments in GPUs, networking semis, and software, as the company spent the past decade (if not longer) laying the groundwork to emerge as the clear leader in AI training GPUs and associated software and tools. We now believe that Nvidia benefits from hefty switching costs in the data center. Even if AMD or another competitor could build a semiconductor that is comparable with Nvidia's data center GPUs, we surmise that AI developers will stick with Nvidia because such AI models were built with Cuda.

We think Nvidia's investments in startups such as OpenAI and Anthropic are wise uses of cash. We recognize these deals are circular in nature. In theory, Nvidia might potentially push unwanted GPUs onto companies in which it has a stake. However, we view this risk as minimal in the near-term and even in the long run. These startups must buy as many Nvidia GPUs as possible to pave the way for leading large language models. Nvidia's use of this cash inflow to make investments is reasonable, in our view. Given AI supply constraints, we have little near-term concern about Nvidia pushing unwanted GPUs onto its startup or neocloud partners.

On the M&A front, the deal that stands out is Nvidia's acquisition of Mellanox Technologies for $6.9 billion in early 2020. Mellanox sells networking products that focus on efficient data transfer in data centers via its InfiniBand technology. Nvidia has deployed InfiniBand masterfully while expanding its networking product lineup into Ethernet-based devices.

In September 2020, Nvidia attempted to acquire ARM Holdings from the SoftBank Group in a transaction valued at $40 billion. Nvidia's hope was to steer ARM toward the development of data center products while incorporating Nvidia's AI expertise. The deal immediately faced pushback from ARM's licensee customers and regulatory challenges and was terminated in February 2022. We don't think the failed merger was a dealbreaker for Nvidia, as the company continues to license IP from ARM and has launched its "Grace" line of ARM-based CPUs for the data center.

Management initiated a quarterly dividend in the fourth quarter of fiscal 2013 to return excess cash to shareholders, but the payout is rather immaterial today. Most of Nvidia's distributions to shareholders

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NVIDIA Corp NVDA ★★★★ 29 May 2026 21:22, UTC

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come in the form of share repurchases.

Analyst Notes Archive

Nvidia Earnings: Massive AI Adoption Remains On Track; Fair Value Up 8%, Shares Undervalued

Brian Colello, CPA,Senior Equity Analyst,21 May 2026

Nvidia reported fiscal first-quarter revenue of $81.6 billion, up 85% year over year and ahead of guidance of $78 billion. Nvidia expects April-quarter revenue of $91 billion, up 95% year over year and ahead of the FactSet consensus estimate of $87.2 billion. Why it matters: There's no slowdown in demand for Nvidia's artificial intelligence gear, and the company is doing all it can to expand its supply chain to meet the insatiable demand associated with large language models and agentic AI. Nvidia's revenue growth is broad-based across customers, and profits remain stellar. Data center, or DC, revenue was $75.2 billion, up 92% year over year. Revenue from hyperscale (mostly large cloud) customers was $37.9 billion, half of the total and up 115% year over year, consistent with the hefty capital expenditure plans of these customers as they race to build out AI. The other half of DC revenue from AI cloud (neocloud), industrial, and enterprise customers was $37.4 billion, up 74% year over year. This customer cohort does not design its own AI accelerators, and we expect Nvidia to dominate this market while still seeing a massive uptick in AI adoption. The bottom line: We raise our fair value estimate for wide-moat Nvidia to $280 from $260, as near- and medium-term growth continues to modestly outpace our expectations. Shares were basically flattish after hours and appear undervalued to us. In addition to Nvidia's excellent AI GPU growth, its networking business tripled year over year to nearly $15 billion. Nvidia now believes its Ethernet networking business is larger than all other Ethernet rivals combined. We view networking as a core component of Nvidia's moat as interconnectivity between GPU racks drives superior AI performance. Coming up: Nvidia should also earn $20 billion in stand-alone CPU revenue with Vera in 2026, as it capitalizes on the massive and rapid rise in demand for traditional CPU processors needed to orchestrate agentic AI workloads.

Nvidia: Raising Fair Value to $260 From $240, as 'Agentic AI' Drives a $1 Trillion Forecast at GTC

Brian Colello, CPA,Senior Equity Analyst,18 Mar 2026

Nvidia hosted its annual GTC conference and gave an outlook of $1 trillion of cumulative revenue from Blackwell and Rubin AI products from 2025-27. They also announced low-latency processors from their recent license with Groq, and NemoClaw to support OpenClaw "agentic" artificial intelligence. Why it matters: There is simply no slowdown in AI spending or development on the horizon. The $1 trillion forecast implies both a stellar fiscal 2027 (effectively calendar 2026) and much more than $500 billion of data center revenue in fiscal 2028, ahead of FactSet consensus estimates. Nvidia's forecast does not include contributions from "other" AI products, such as the Groq lineup for low latency, or storage or CPU racks. Nvidia estimates that Groq may make up 25% of inference workloads over time, so this

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excluded bucket might not be immaterial. The forecast also excludes Hopper GPU revenue (mostly in 2025) and Rubin Ultra GPU revenue (likely arriving in the second half of 2027). At the event, we were most impressed with the buzz around OpenClaw and Nvidia's support behind the nascent, open-source agentic AI product. Agentic AI appears to be well on its way. The bottom line: We raise our fair value estimate for wide-moat Nvidia to $260 from $240, based on an improved near-term forecast, even as we taper our long-term growth estimates. Shares appear materially undervalued, and we're surprised by the market's flattish stock price reaction. We believe this suggests that investors are skeptical of Nvidia's forecast, although we have few concerns, barring an economic catastrophe such as further wars or financial crises. The AI ecosystem is still computing-constrained, and Nvidia's forecast suggests that few, if any, of the leading cloud vendors will cut back on AI spending in the next two years. Given the development of agentic and physical AI, we foresee a long runway for AI gear spending.

Nvidia: Firm Strikes a Levelheaded Deal With Its $30 Billion Investment in OpenAI Brian Colello, CPA,Senior Equity Analyst,27 Feb 2026

Nvidia will invest $30 billion in OpenAI as part of OpenAI's $110 billion financing round at a $730 billion pre-money valuation. OpenAI will use 3 gigawatts of dedicated inference capacity, along with 2 GW of AI training on Nvidia's latest Vera Rubin systems. Why it matters: We believe this deal is in line with prior reports suggesting that Nvidia and OpenAI would strike a smaller deal. It replaces Nvidia's previous letter of intent in September to invest up to $100 billion in OpenAI while supplying the model builder with up to 10 GW of Nvidia systems. In recent months, we believe investors have become adequately skeptical of OpenAI's ambitious artificial intelligence expansion plans. We think this new deal with Nvidia is more reasonable and achievable. Nvidia's investment will be alongside of $30 billion and $50 billion outlays made by Softbank and Amazon, respectively. OpenAI indicated that it is maintaining its partnerships with Nvidia customers, including Microsoft, Oracle, and CoreWeave. The bottom line: We maintain our $240 fair value estimate for wide-moat Nvidia, and shares still appear undervalued to us. Shares sold off modestly on a down-market day in the US stock market, so we believe investors are not overly disappointed with the reduction in deal size. Despite the lower deal, we believe Nvidia's forecast of at least $3 trillion of annual worldwide AI infrastructure spending by 2030 remains intact. Nvidia's earnings report Wednesday and cloud capital expenditure plans suggest AI buildouts are still booming. Our AI revenue estimates for Nvidia remain conservative relative to its $3 trillion AI forecast and the ambitious buildout plans of AI leaders. We believe the market is baking even more conservatism into Nvidia's shares today, even though there's no indication of a slowdown in AI development. Coming up: Nvidia's GTC event with CEO Jensen Huang's keynote address on March 16 may provide more insight into the partnership.

Nvidia Earnings: Another Stellar Quarter With No Signs of a Slowdown; Maintaining $240 Fair Value Brian Colello, CPA,Senior Equity Analyst,26 Feb 2026

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Nvidia reported fiscal fourth-quarter revenue of $68.1 billion, up 73% year over year, up 20% sequentially, and ahead of guidance. Nvidia expects April-quarter revenue of $78.0 billion, which would be up 77% year over year and ahead of FactSet consensus estimates of $72.9 billion. Why it matters: We see no signs of slippage at Nvidia, as revenue growth is accelerating from recent quarters, thanks to the massive growth in artificial intelligence capital expenditure announced by large cloud computing companies. An “AI bubble” does not appear imminent. Nvidia expects sequential growth in each of the four quarters of calendar 2026. Supported by a strong fiscal first-quarter outlook, management suggested that its prior guidance of $300 billion of Blackwell and Rubin product revenue in calendar 2026 will be conservative. The forecast does not include any data center computing revenue sold into China, despite prior approvals of H200 sales. Our model does not incorporate a massive uptick in Nvidia's China revenue in the years ahead. The bottom line: We maintain our $240 fair value estimate for wide-moat Nvidia. Shares were flattish after hours, and we still view shares as undervalued. We anticipate that leading cloud companies, model builders, and governments will continue to invest in the promise of AI. We maintain our Morningstar Very High Uncertainty Rating as the timing and magnitude of AI adoption are unclear in the decade ahead. One risk for Nvidia is that it hasn’t yet signed its previously announced deal with OpenAI. Nvidia stated that it “believes it is close” on signing the deal, although outside reports suggest it may be a smaller deal in size. Coming up: In most quarters from calendar 2023 to 2025, Nvidia generally increased its data center revenue by about $4 billion, as new supply came online. We’re impressed that Nvidia’s fiscal first-quarter guidance implies $11 billion of incremental revenue sequentially.

Nvidia: Full Steam Ahead With an Impressive Array of Announcements at CES 2026 Brian Colello, CPA,Senior Equity Analyst,6 Jan 2026

Nvidia touted its lineup of product innovations at a keynote address at CES 2026 in Las Vegas and hosted a question-and-answer session with financial analysts. The firm’s artificial intelligence roadmap remains on track, with its Vera Rubin products coming to market in the second half of 2026. Why it matters: We remain highly pleased with Nvidia’s AI roadmap. The company continues to innovate in rack-scale AI solutions, expand its library of open-source AI models to support ecosystem development, and advance physical AI solutions, such as autonomous vehicles. Vera Rubin is expected to deliver five times the performance of current-generation Blackwell products for certain AI inference tasks. Nvidia is adding a host of storage, optical, and networking enhancements to Vera Rubin racks. Nvidia will also bring a full-stack autonomous driving solution to market in the first quarter of 2026 inside the Mercedes-Benz CLA. AI is becoming increasingly important in autonomous vehicles, and we think Nvidia is uniquely positioned to support existing car makers in physical AI. The bottom line: We maintain our $240 fair value estimate and Very High Uncertainty Rating for wide-moat Nvidia. Nvidia’s shares appear undervalued, and recent AI bubble concerns seem overdone. We still believe AI demand is quite healthy for Nvidia in the near term. One long-term investor concern has been whether the long

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tail of companies will see benefits from AI over time. We think Nvidia's expanding library of domain-specific, open-source models is intended to help these developers, making it less likely that any of them will fail in AI. Nvidia only briefly discussed its recent licensing agreement with Groq, where it is bringing key assets and employees into the company. We think this is effectively an acquisition of low-latency chipsets that might supplement Nvidia's future roadmap as AI workloads disaggregate.

Nvidia: Approval to Sell H200 AI Accelerators Into China Appears Forthcoming; $240 Fair Value Kept

Brian Colello, CPA,Senior Equity Analyst,9 Dec 2025

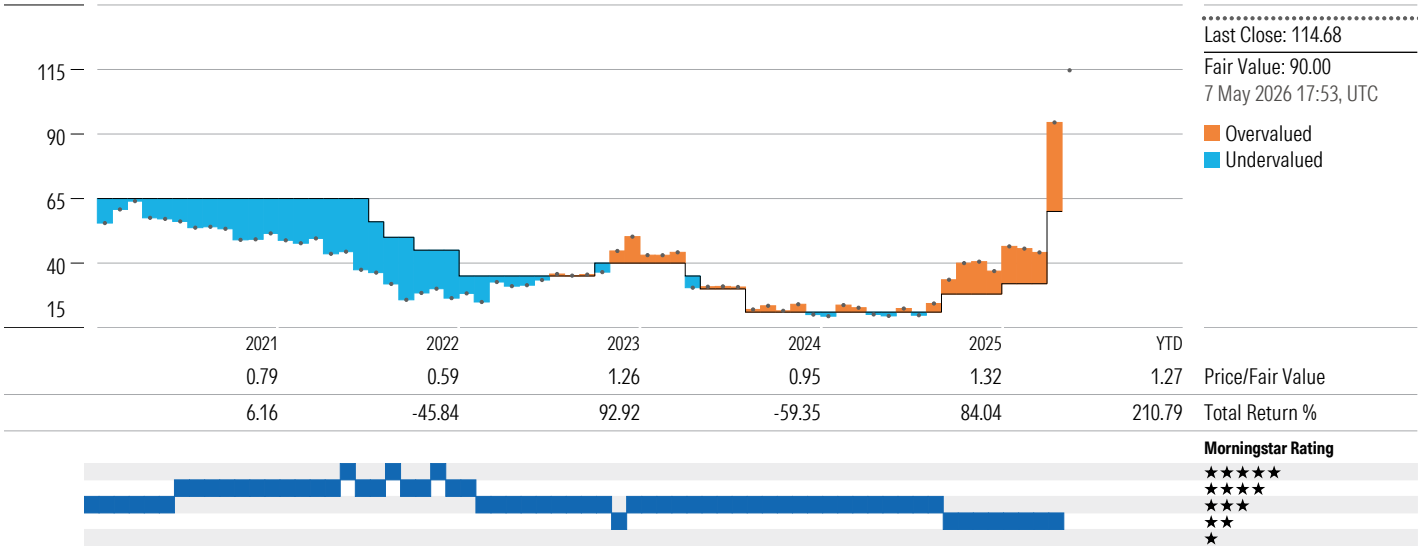
In a Dec. 8 Truth Social post, US President Donald Trump said the US will allow Nvidia to sell its roughly two-year-old artificial intelligence graphics processors, or GPUs, the H200, into China. The US government will reportedly receive a 25% cut on all sales, versus prior discussions of a 15% cut.Why it matters: The approval is a good first step for Nvidia to get back into the business of selling AI GPUs into China. The US has gone back and forth on restrictions, and may do so again in the future, but now we foresee at least a path to meaningful future AI revenue from China. Recently, the Chinese government has nudged its AI developers to shy away from Nvidia parts, so there's no guarantee that the H200 will be widely adopted by the Chinese ecosystem versus domestic parts, even though the H200 is superior to the previously approved H20. That said, the Truth Social post said Chinese "President Xi responded positively!" The bottom line: We keep our $240 fair value estimate for wide-moat Nvidia. Shares rose 2% after hours on the news and still look undervalued. We think the recent selloff in AI names has presented investors with a buying opportunity. We retain our Very High Morningstar Uncertainty Rating for Nvidia. Geopolitics like US-China relations are just one of many moving pieces for Nvidia's future revenue and earnings growth. Another risk has been the strong performance of Google's Gemini AI model, based on its in-house TPUs. We've long expected custom ASICs like TPUs to carve out a piece of the AI market, but we're not yet convinced that TPUs will widely encroach on Nvidia's market dominance. Coming up: Our model doesn't yet reflect H200 revenue as we await details as to Chinese demand and the timing of license approvals and tax payments. A significant inflow of H200 revenue would likely boost our fair value, although Nvidia's supply chain would need to expand even faster to serve not only the revival of H200s but also Blackwell products.

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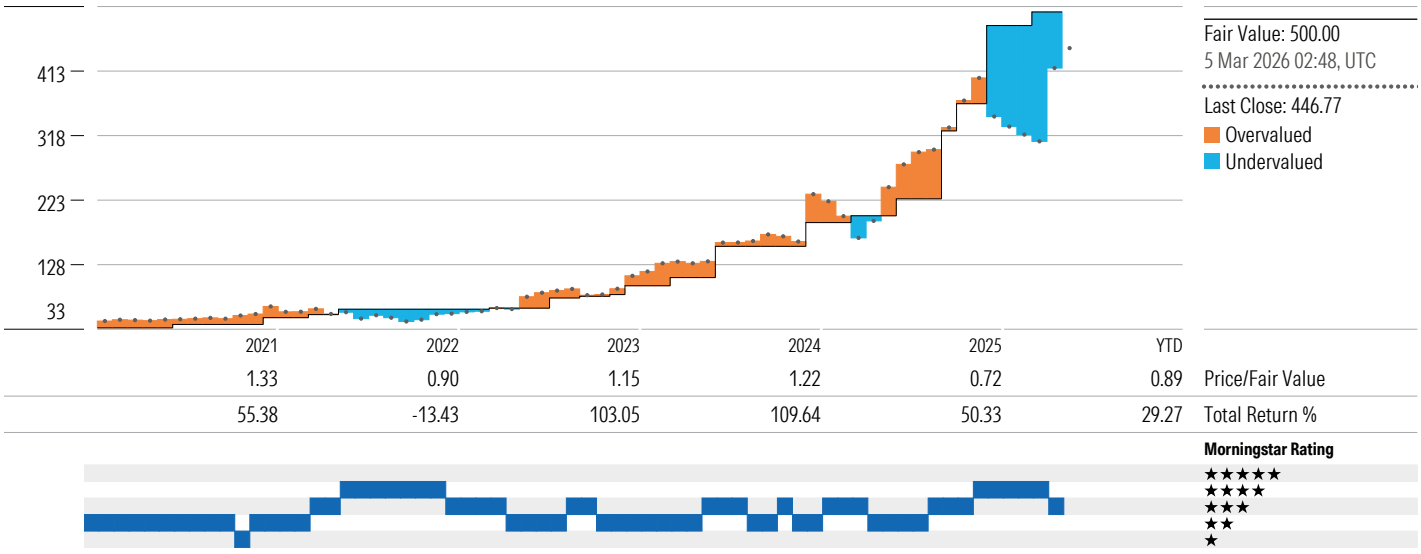
Competitors Price vs. Fair Value

Intel Corp INTC



Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 7 May 2026 17:53, UTC.

Broadcom Inc AVGO



Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 5 Mar 2026 02:48, UTC.

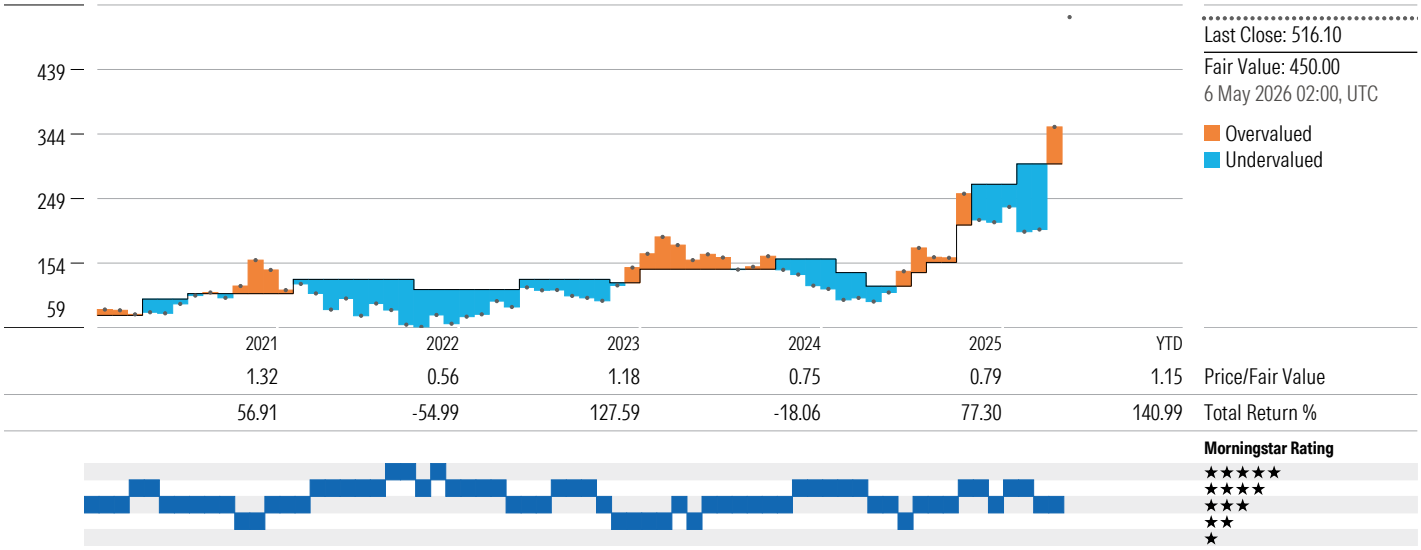
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Competitors Price vs. Fair Value

Advanced Micro Devices Inc AMD



Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 6 May 2026 02:00, UTC.

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Morningstar Valuation Model Summary

Financials as of 20 May 2026

Fiscal Year, ends 31 Jan	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031
Revenue (USD Mil)	60,922	130,497	215,938	388,917	573,945	687,086	790,148	856,412
Operating Income (USD Mil)	32,972	81,454	130,387	257,804	376,218	440,497	496,949	524,369
EBITDA (USD Mil)	34,480	83,318	133,229	262,809	384,149	452,283	512,808	544,240
Adjusted EBITDA (USD Mil)	34,480	83,318	133,229	262,809	384,149	452,283	512,808	544,240
Net Income (USD Mil)	29,760	72,880	120,067	244,339	342,898	396,399	443,395	466,265
Adjusted Net Income (USD Mil)	32,313	74,266	116,996	228,197	341,762	395,157	442,090	464,894
Free Cash Flow To The Firm (USD Mil)	22,940	49,598	52,551	120,932	224,776	309,186	361,360	401,800
Weighted Average Diluted Shares Outstanding (Bil)	25	25	25	24	23	23	22	21
Earnings Per Share (Diluted) (USD)	1.19	2.94	4.90	10.13	14.66	17.55	20.35	22.21
Adjusted Earnings Per Share (Diluted) (USD)	1.30	2.99	4.77	9.46	14.61	17.49	20.29	22.15
Dividends Per Share (USD)	0.02	0.03	0.04	0.76	1.00	1.00	1.00	1.00

Margins & Returns as of 20 May 2026

	3 Year Avg	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031	5 Year Avg
Operating Margin %	59.0	54.1	62.4	60.4	66.3	65.6	64.1	62.9	61.2	64.0
EBITDA Margin %	—	56.6	63.8	61.7	67.6	66.9	65.8	64.9	63.6	—
Adjusted EBITDA Margin %	—	56.6	63.8	61.7	67.6	66.9	65.8	64.9	63.6	65.8
Net Margin %	53.5	48.9	55.9	55.6	62.8	59.7	57.7	56.1	54.4	58.1
Adjusted Net Margin %	54.7	53.0	56.9	54.2	58.7	59.6	57.5	56.0	54.3	57.2
Free Cash Flow To The Firm Margin %	33.3	37.7	38.0	24.3	31.1	39.2	45.0	45.7	46.9	41.6

Growth & Ratios as of 20 May 2026

	3 Year CAGR	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031	5 Year CAGR
Revenue Growth %	100.1	125.9	114.2	65.5	80.1	47.6	19.7	15.0	8.4	31.7
Operating Income Growth %	185.9	491.2	147.0	60.1	97.7	45.9	17.1	12.8	5.5	32.1
EBITDA Growth %	232.2	495.2	141.6	59.9	97.3	46.2	17.7	13.4	6.1	36.1
Adjusted EBITDA Growth %	184.4	495.2	141.6	59.9	97.3	46.2	17.7	13.4	6.1	32.5
Earnings Per Share Growth %	204.1	584.9	146.2	66.7	106.9	44.7	19.7	16.0	9.2	35.3
Adjusted Earnings Per Share Growth %	204.1	288.3	131.1	59.4	98.3	54.4	19.7	16.0	9.2	35.3

Valuation as of 20 May 2026

	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031
Price/Earning	47.3	40.2	40.1	22.3	14.5	12.1	10.4	9.5
Price/Sales	24.9	22.5	21.5	13.1	8.9	7.4	6.5	6.0
Price/Book	35.8	37.5	29.8	20.1	11.9	7.6	5.2	3.8
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	43.8	34.9	34.5	19.2	13.1	11.2	9.8	9.3
EV/EBIT	45.8	35.7	35.2	19.6	13.4	11.5	10.2	9.6
Dividend Yield %	0.0	0.0	0.0	0.4	0.5	0.5	0.5	0.5
Dividend Payout %	1.2	1.1	0.8	8.0	6.8	5.7	4.9	4.5
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 20 May 2026

Fiscal Year, ends 31 Jan	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031
ROA %	45.3	65.3	58.1	75.9	68.3	54.7	44.5	36.2
ROE %	69.2	91.9	76.3	96.2	82.7	63.2	49.8	39.7
ROIC %	61.0	97.1	90.3	106.5	101.6	83.3	69.4	57.1

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NVIDIA Corp NVDA ★★★★ 29 May 2026 21:22, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
211.14 USD 31 May 2026	280.00 USD 21 May 2026 08:32, UTC	0.75	5.42 USD Tril 1 Jun 2026	Wide	Large Growth	Very High	Exemplary

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Debt/Capital %	0.7	0.3	0.2	0.1	0.1	0.1	0.1	0.1
Assets/Equity	1.5	1.4	1.3	1.3	1.2	1.2	1.1	1.1
Net Debt/EBITDA	-0.4	-0.4	-0.4	-0.4	-0.5	-0.8	-1.1	-1.6
Total Debt/EBITDA	0.3	0.1	0.1	0.0	0.0	0.0	0.0	0.0
EBITDA/ Net Interest Expense	-40.8	-32.4	-12.0	-7.3	-10.6	-12.4	-14.0	-14.8

Forecast Revisions as of 20 May 2026	**2027**		**2028**		**2029**	
Prior data as of 17 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	280.00	260.00	—	—	—	—
Revenue (USD Mil)	388,917	357,720	573,945	534,779	687,086	639,977
Operating Income (USD Mil)	257,804	235,106	376,218	347,895	440,497	406,948
EBITDA (USD Mil)	262,809	239,924	384,149	355,403	452,283	418,030
Net Income (USD Mil)	228,197	193,946	341,762	286,367	395,157	334,798
Earnings Per Share (Diluted) (USD)	10.13	8.03	14.66	12.05	17.55	14.33
Adjusted Earnings Per Share (Diluted) (USD)	9.46	8.00	14.61	12.02	17.49	14.29
Dividends Per Share (USD)	0.76	0.04	1.00	0.04	1.00	0.04

Key Valuation Drivers as of 20 May 2026

Cost of Equity %	9.6
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	9.5
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	9.0
Stage II Investment Rate %	30.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 20 May 2026

	USD Mil
Present Value Stage I	2,050,278
Present Value Stage II	1,685,476
Present Value Stage III	2,696,335
Total Firm Value	**6,432,090**
Cash and Equivalents	62,556
Debt	8,468
Other Adjustments	0
Equity Value	**6,486,178**
Projected Diluted Shares	24
Fair Value per Share (USD)	**280.00**

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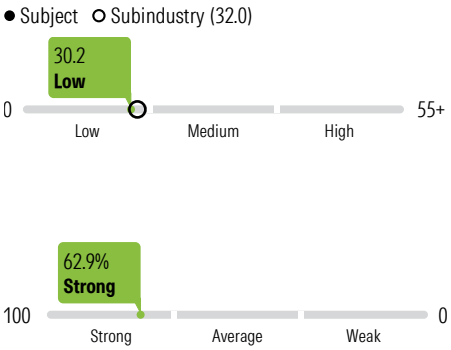
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NVIDIA Corp NVDA ★★★★ 29 May 2026 21:22, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
211.14 USD 31 May 2026	280.00 USD 21 May 2026 08:32, UTC	0.75	5.42 USD Tril 1 Jun 2026	Wide	Large Growth	Very High	Exemplary

ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	30.2
– Manageable Risk	28.2
Unmanageable Risk[2]	**2.0**
Management	
Manageable Risk	28.2
– Managed Risk[3]	17.7
Management Gap[4]	**10.5**
Overall Unmanaged Risk	**12.4**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of May 30, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Semiconductor Design and Manufacturing. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 62.9% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 30 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
NVIDIA Corp	30.2 | Low	0	55+	62.9 | Strong	100	0	12.4 | Low	0	40+
Advanced Micro Devices Inc	30.8 | Low	0	55+	66.7 | Strong	100	0	11.6 | Low	0	40+
Intel Corp	50.7 | Medium	0	55+	68.0 | Strong	100	0	19.1 | Low	0	40+
Broadcom Inc	42.7 | Medium	0	55+	57.1 | Strong	100	0	20.1 | Medium	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

NVIDIA Corp NVDA 29 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★	★★	★★	★★	★★	★★★	★★	★★	★★	★★

Intel Corp INTC 29 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Broadcom Inc AVGO 29 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★

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Advanced Micro Devices Inc AMD 29 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★	★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

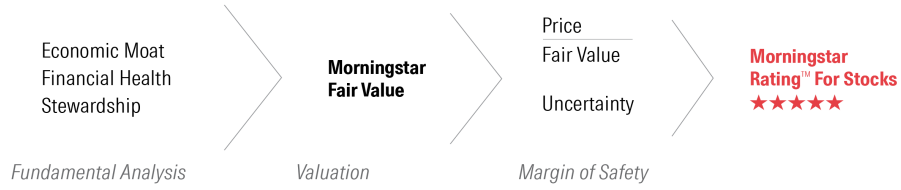
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

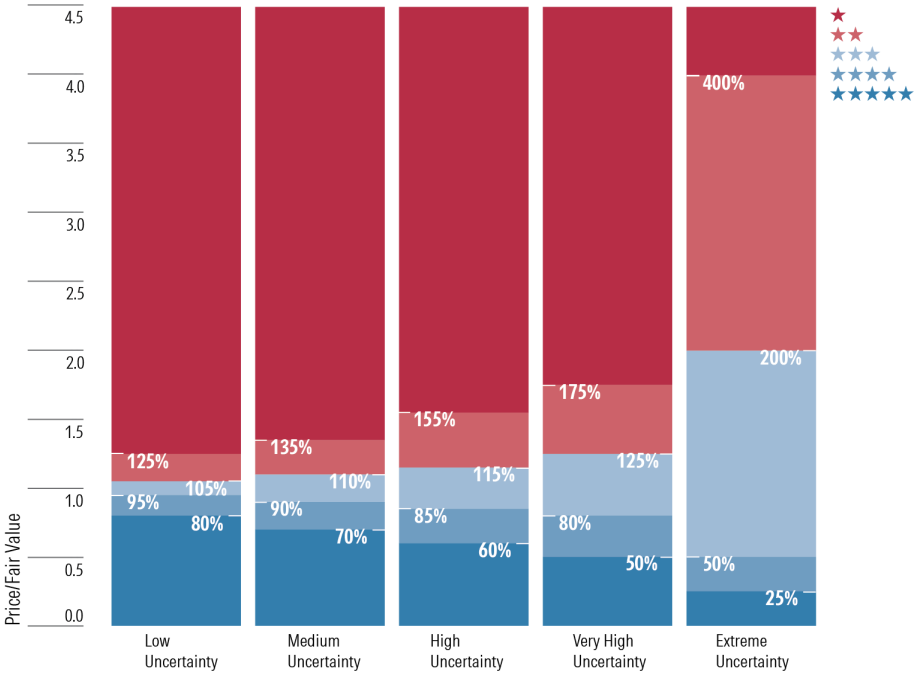
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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